

What about 35?

India's cheap \$35 tablet could be a nice deal as a reader, but at the cost of readability and comfort

Kindle's selling

Amazon's latest Kindle model, the Kindle 3 has proved to be the most successful ebook reader till date

Geek life

present market scenario, eBooks come at a price. In emerging economies such as India, even ₹6,000 for an ebook reader is still on the high considering the fact that technological penetration and consumption is limited to the lofty. The USP of most ebook readers is either its display (often promoted as glare free or e-ink), or the number of formats it supports. In stark contrast, according to figures gathered by an authoritative body on the print and publishing industry PIRA, "Amazon has been growing its digital book range since the launch of the Kindle in 2007 and in August 2009 added 13,713 titles. In July 2009, Barnes and Noble in the US was offering 7,00,000 titles. Putting this growth in perspective, according to the Association of American Publishers, between 2002 and 2008, e-book sales grew at a compound annual rate of 58 per cent, compared to 1.6 per cent for the overall book industry. Adding to the woes of paper producers, Amazon announced at the start of October 2009 that for all books it sells in both print and e-book versions, Kindle versions now account for 48 per cent of unit sales. Six months earlier the figure was around 12

per cent. Clearly this trend will impact paper demand. For paper producers in North America and Europe, the situation is exacerbated by the continued growth of books imported from the Far East. For example, Asia exported almost \$1.5 billion worth of books into the US during 2007."

Definitely, eBook readers do pose a threat to the paper and print industry.

However, more of this seems to affect the saturated and sapped American market. All the eBook reader activity seems to be happening in the world's largest market. The Asian print and publishing industry seems to be growing. A trend seconded in a report on the Media and Entertainment industry by global auditing firm Ernst & Young forecasting the industry trend till 2014.

According to the media and entertainment industry assessment by PricewaterhouseCoopers, the global consumer magazine market is worth \$80 billion, compared to \$71 billion five years ago. However, a closer look shows that while

advertising rose by a compound annual growth rate (CAGR) of 4 per cent, circulation went up by just 1.9 per cent between 2003 and 2007. This does speak of alternative sources for content for the consumer. Does it mean online content, piracy, or ebook readers?

We know for sure ebook readers are not responsible for the slow growth in these figures. The industry picked up only post 2007 with the launch of the Amazon Kindle. What is universally agreed by all analysts globally is that advertising will increase significantly (by double digit figures in the online and digital space in BRIC countries such as Brazil, China and India.

From a more practical standpoint, PlasticLogic's ProReader (announced at CES 2010, but later scrapped) held great potential. It's no coincidence these kneejerk moves are a result of 3 million iPads selling in just 3 months of its launch. If you're still wondering what the future could be, the October 2008 issue of Esquire, a men's magazine could hold the key. This issue has the world's first e-ink cover. Watch a video on <http://is.gd/eRoLZ>. With the iPad changing the market scenario, several eBook readers are looking at a reduced demand for reader-only devices. For the ultimate experience, companies would have to offer the feel of "touch" to their ebook readers. Flexible displays as promoted by PlasticLogic did promise this. Nevertheless, pricing is another critical factor.

What would hold true till the end is substance. As billionaire investor Warren Buffet puts it, "Price is what you pay. Value is what you get." As far as the future of eBook readers is concerned, there is growing opinion among a vast section of analysts and market researchers that the growth for eBook readers can only be sustained till 2015. According to Informa Telecoms & Media, ebook reader sales are expected to peak at 14 million units in 2013, before falling by 7 per cent in 2014. Perhaps the smell of paper would be the deciding factor, or a perfect synergy between paper and print like the Esquire cover! Write in to us and let us know your take on this matter. 

